

The typical endowment insurance policy gives you a tiny crust of life insurance cover; it is usually ten times your premium. So if your premium is Rs 50,000 a year, your life cover is Rs 5 lakhs. It also promises to give you a return on your money. And that is the carrot for you – you get a ‘cover’, so your family’s safe; you get a return and you get a tax break. The pista on the jalebi is that the money at maturity is tax-free.

The way the policy is sold talks about the returns in terms of whole numbers: You invest Rs 50,000 a year for five years and you get back Rs 5 lakhs after another fifteen years. Or you invest Rs 50,000 a year for fifteen years and you get back Rs 10 lakhs.

The whole numbers look big with lots of zeros, but ask the question what the return percentage a year is, and you get shocking answers. The first policy returns 4.15 per cent a year. The second, 3.98 per cent a year. Sometimes the pitch is even more complicated. I really do get the impression that the intention is to obfuscate and hide the real return of the product in fancy numbers.

An easy way to cut through the tyranny of being hit by large numbers is to use the Rule of 72. This is a versatile rule that we shall use many times in the book. To know the rate of return every year of a double-your-money proposition, simply ask the question: Over what time does my money double? Then divide 72 by that number.

Suppose the agent says: Your Rs 1 lakh will grow to Rs 2 lakhs in fifteen years, divide 72 by 15. Your return per year is 4.8 per cent, which is near the 4.73 number that a more exact calculation will give.

Over the past fifteen years that I have tracked this industry, my team and I have decoded hundreds of these policies to find out what they finally return as a percentage of your investment. If we are smart enough to understand that an FD gives back an interest of 6 or 7 per cent, why then does an insurance policy hide this return so carefully?

The reason is that they give you pathetic returns. On an average, a guaranteed return policy gives around 3 per cent annual return. What are called participating plans (or plans that give you a ‘bonus’ at the end of the policy) give between 0.5 per cent to 4 per cent return. You read that correctly.